

Executive Summary — Order Fulfilment and Revenue Risk Analysis

Order and Revenue Realization

- A total of 99,441 orders generated about \$15.8M in revenue.
- 97.02% of orders were delivered, showing strong fulfilment performance overall.
- However, 1.74% of orders are still in progress and 1.24% are lost, which creates a small gap between total orders and realized revenue.
- Around 2.67% of revenue (\$423.8K) is currently classified as Revenue at Risk, meaning some income may not be realized if delivery issues continue.

Regional Risk Distribution

- Revenue is highly concentrated in a few key states, especially SP, RJ, and MG.
- SP generates the largest share of revenue and also has the highest absolute Revenue at Risk (about \$152K).
- In contrast, RR (Roraima) has the highest relative risk, with 10.19% Revenue at Risk and a lower Delivery Rate of 89.13%.
- This indicates that operational challenges are more severe in some smaller regions even if their total revenue is lower.

Time Series and Performance Trends

- Revenue shows a steady growth trend during 2017, indicating stable customer demand.
- The highest monthly revenue occurred in November, reaching around \$825.9K.
- Delivery performance fluctuated during the year, with the lowest delivery rate appearing in February (92.37%).
- These fluctuations suggest that operational capacity may not always scale smoothly with demand.

Fulfilment and Operational Risk

- Even with a high overall delivery rate (97.02%), the \$423.8K Revenue at Risk highlights remaining operational inefficiencies.
- Large states such as SP create the biggest financial exposure because a small decline in delivery performance can affect a large amount of revenue.
- In smaller states like RR, the issue is not volume but delivery reliability, which increases the relative risk percentage.
- This shows that operational improvements should focus both on high volume regions and high-risk regions.

Recommended Actions

- Focus immediate operational improvements on priority regions (RJ, RS, BA), as they combine high revenue volume with significant risk levels.
- Strengthen SP Monitoring. Since SP drives the largest portion of total revenue, even minor delivery improvements here will have a significant impact on reducing financial risk.
- Investigate RR Logistics, where the delivery rate (89%) and relative risk are significantly worse than the national average.
- Closely track orders in progress and prepare logistics capacity for peak months, ensuring pending deliveries do not convert into lost revenue.

Executive Takeaway

- The business shows strong demand and a high delivery success rate, but \$423.8K of revenue remains exposed to operational risk.
- By improving delivery reliability in high-risk states like RR and protecting revenue in high-volume states like SP, the company can further strengthen revenue realization and reduce financial risk.